DATA ANALYTICS REPORT

Customer Lifetime Value Analysis

By Pringgondani Ade

EXECUTIVE SUMMARY

This report presents a comprehensive analysis of Customer Lifetime Value (CLV) across **495 active customers** in a retail e-commerce dataset. The analysis spans four dimensions: customer segment performance, acquisition channel efficiency, product category revenue distribution, and churn-retention dynamics.

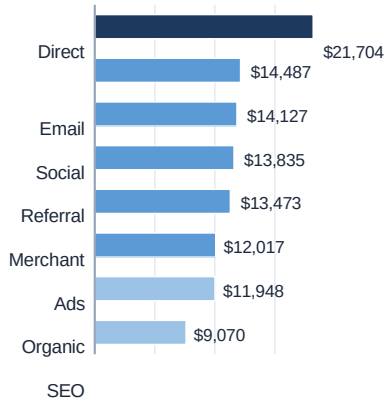
TOTAL CUSTOMERS	AVERAGE CLV	CHURN RATE	RETENTION RATE
495	**$14,548**	**39.7%**	**60.3%**
Active accounts	Per customer lifetime	Customers lost	Customers retained

PROBLEM STATEMENT

Despite generating solid revenue, the business faces three compounding challenges: **(1)** customers are not staying long enough to maximize lifetime value; **(2)** revenue is dangerously concentrated in the At-Risk segment most likely to churn; **(3)** acquisition channels deliver inconsistent customer quality with wide CLV variance that remains largely unoptimized.

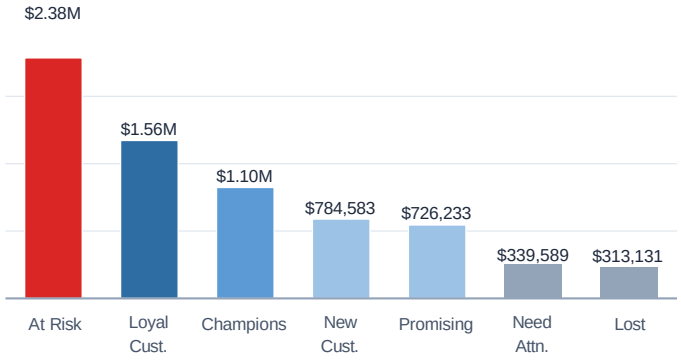
KEY FINDINGS

CLV by Acquisition Channel



Customers acquired through the **Direct channel** generate the highest lifetime value ($21,704), significantly outperforming other channels such as SEO ($9,070). This indicates that not all acquisition channels deliver equal customer quality, and optimizing high-performing channels could improve overall profitability.

Revenue by Customer Segment



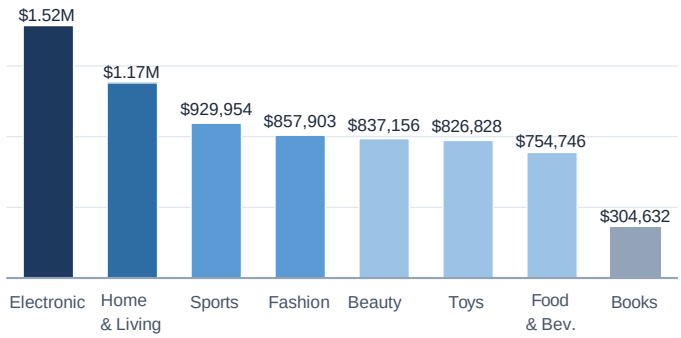
The “At Risk” segment contributes the highest revenue ($2.37M), indicating a heavy dependence on customers who are likely to churn. This poses a significant risk to revenue stability if retention strategies are not implemented effectively.

CLV by State — Geographic Distribution

State	Avg CLV ($)	Signal
Texas	**17,112**	Highest Revenue
Tennessee	**17,444**	Highest CLV per Customer
California	15,630	Strong Western Market
Colorado	13,265	Mid-Tier, Growing
Illinois	13,620	Midwest Anchor
Washington	11,056	Below Average
Florida	11,333	Underserved Opportunity

Texas ($17,112) leads overall revenue. **Tennessee ($17,444)** has the highest per-customer CLV — premium customers in an underserved secondary market. Western states show strong CLV above $15K.

Revenue by Product Category



Electronics leads at $1.52M, followed by Home & Living ($1.17M). Books contributes only $304K — 5× less than Electronics. Six mid-tier categories cluster tightly between $750K–$930K.

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STRATEGIC RECOMMENDATION

01 Retain the At-Risk Segment

At-Risk customers generate $2.37M in revenue, representing the largest but most vulnerable segment. By implementing a targeted win-back campaign (personalized email and exclusive offers), the business could potentially retain 10–20% of this segment, recovering an estimated $237K–$474K in revenue.

02 Scale the Direct Channel

Direct channel customers generate 2.4× higher lifetime value than SEO, indicating significant variation in customer quality across acquisition channels. By shifting acquisition focus toward referral programs, the business could increase average CLV by approximately $4,765 per customer, resulting in a potential revenue uplift of $476K–$1.43M depending on scale.

03 Expand into High-CLV Geographic Markets

Texas ($17,112) and Western states ($15K+) show premium CLV profiles. Analyze what drives quality in these markets, then replicate with geo-targeted campaigns in similar, currently underserved regions.

04 Cross-Sell from Electronics into Adjacent Categories

Electronics is the top-performing category, generating $1.52M in revenue, significantly outperforming other categories. By leveraging Electronics buyers as an entry point for cross-sell strategies into adjacent categories, the business could drive an additional $45K–$180K in revenue by converting 15–30% of customers.

Bottom Line: This business has strong CLV fundamentals ($14,548 average) but faces a critical concentration risk — the At-Risk segment cannot be left unattended. Prioritizing retention over acquisition, shifting channel mix toward Direct, and executing geographic and cross-sell growth strategies form a cohesive path to protect and grow long-term customer equity.